

For example, many companies took large charges against earnings and book value for future healthcare expenditure in the early 1990s when double-digit inflation in medical costs was assumed. Healthcare inflation is now less than 5 per cent, suggesting the possibility that some earlier charges might be reversed.

Third, corporate write-offs for past mistakes and corporate restructuring have shrunk and now represent less than 10 per cent of reported earnings, compared with 40 per cent in 1991.

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*The growth in profits has been stretched out like Potty Putty but the cumulative profit gains have been significant — they have doubled since 1991.*

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The gap between modest GDP growth and more energetic profit gains from the S&P 500 companies encourages some to believe that the latter cannot continue for long. But the gap can be explained by three factors that will not soon end:

- The S&P 500 is an actively managed index (please pardon the oxymoron). These are among the best companies in America, and are not meant to represent the average.
- Growth in GDP has been muted by the stagnation in government spending this decade. However, private sector GDP growth—which generates private sector profits—has been more vigorous.
- The output of the substantial offshore direct investments made by US companies boosts the GDP of the host countries—but the resulting profits boost US earnings and US share prices.